

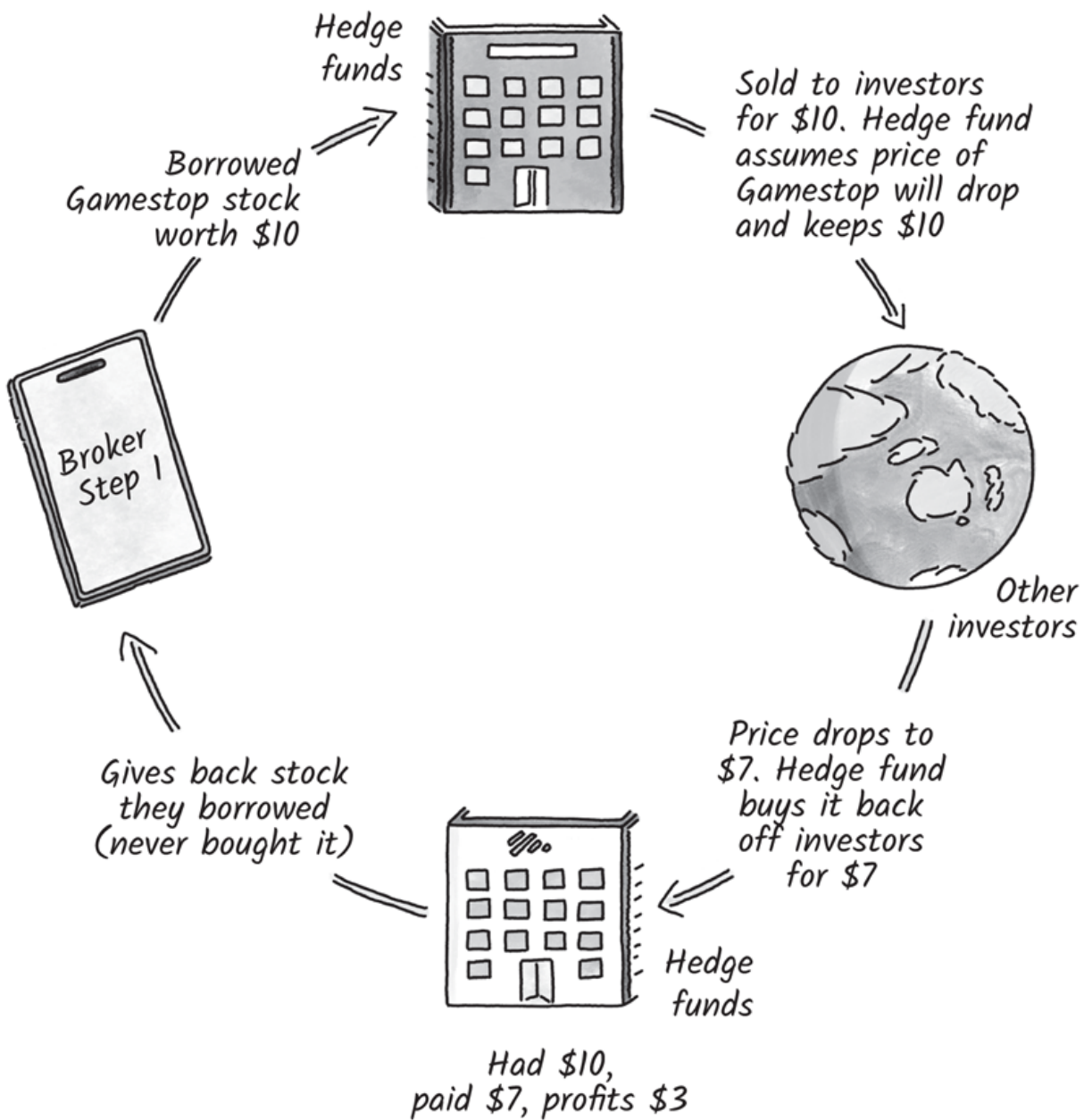


Figure 11.1: how hedge funds short stocks

The whole situation happened because retail investors (particularly those who were on Reddit's r/wallstreetbets forum) noticed that the hedge fund Melvin Capital was betting on the price dropping. They intentionally worked together to attempt to drive the price up, buying lots of GameStop stock. Due to much more demand than supply of the shares, the price rose quickly — from US\$17.69 to US\$325.